

August 5, 2026 05:04 AM GMT

SpaceX | North America

# Strong Beat/Outlook vs. Higher Capex: Reiterate \$300 PT

## AlphaSignals Earnings Reaction

|                                          |                                                              |                                                                             |
|------------------------------------------|--------------------------------------------------------------|-----------------------------------------------------------------------------|
| <b>Unchanged</b><br>Impact to our thesis | <b>↑ Modest upside</b><br>Financial results versus consensus | <b>↑ Modest revision higher</b><br>Direction of next 12-month consensus EPS |
|------------------------------------------|--------------------------------------------------------------|-----------------------------------------------------------------------------|

Source: Company data, Morgan Stanley Research

2Q featured a 16% revenue beat, 75% EBITDA beat. Target for > \$100bn total company ARR (end Dec '26) and 5 to 10GW of compute (YE27) help 'feed the ducks' on the outlook. Higher estimates offset by higher capex. PT remains \$300.

### Key takeaways from the 2Q numbers:

- \$14bn EBIT beat driven by timing of AI neocloud revenue, Starlink Government & Enterprise and Space.
- Stronger EBIT margins across each segment.
- Starlink consumer subs (12mm vs. MS 12mm), ARPU (\$66/mo vs. MS \$65/mo) and period-end compute capacity (1.4GW) all broadly in line with expectations.
- \$18bn of capex (including Echostar payments) was modestly lower than MS estimate (\$20.5bn)...
- ... however the company is guiding to a similar level of capex per quarter for the remainder of the year, implying approximately incremental ~\$18bn of 2H capex on top of our prior forecast.

### Elon Musk pulled a few rabbits out of the guidance hat:

- **Targeting at least \$100bn TOTAL COMPANY annualized revenue (ARR) by end of December 2026.** While not formal guidance from the release, Elon Musk's >\$100bn ARR target is notably higher than what was implied in our prior 4Q forecast (\$19.1bn).
- **Targeting "closer to 10GW than 5GW" of year-end 2027 nameplate compute.** This guidance implies a substantially faster ramp in AI compute vs. the Street (we were at 4.15GW).
- **Confidence on Starlink outlook.** Company expects to begin deploying functioning V3 broadband sats from next Starship launch (flight 14). Targets 1,000 V3 sats deployed by 2Q27 (vs. MS at 840 by end of 2Q27).
- **Says heat shield problem is largely 'solved.'** While always room for continuous improvement on the march to rapid reusability, performance of the Starship's heat shield from flight 13 looks promising.

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## SpaceX (SPCX.O, SPCX US)

Space Technology | United States of America

|                                |                                   |
|--------------------------------|-----------------------------------|
| <b>Stock Rating</b>            | <b>Overweight</b>                 |
| <b>Industry View</b>           | <b>Attractive</b>                 |
| <b>Price target</b>            | <b>\$300.00</b>                   |
| Shr price, close (Aug 4, 2026) | \$125.33                          |
| 52-Week Range                  | \$225.64-104.83                   |
| <b>Fiscal Year Ending</b>      | <b>12/25 12/26e 12/27e 12/28e</b> |
| EPS (\$)**                     | (1.69) 0.50 2.23 5.85             |
| Prior EPS (\$)**               | - 0.28 2.18 6.29                  |
| P/E                            | NM 248.4 56.3 21.4                |
| EPS (\$)§                      | - (0.43) 0.61 3.13                |
| Div yld (%)                    | - 0.0 0.0 0.0                     |

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework  
\*\* = Based on consensus methodology  
§ = Consensus data is provided by Refinitiv Estimates  
e = Morgan Stanley Research estimates

### QUARTERLY EPS (\$)

| Quarter | 2025   | 2026e Prior | 2026e Current | 2027e Prior | 2027e Current |
|---------|--------|-------------|---------------|-------------|---------------|
| Q1      | (0.18) | -           | (0.84)a       | 0.54        | 0.54          |
| Q2      | (0.34) | -           | (0.09)a       | 0.55        | 0.51          |
| Q3      | (0.36) | 0.27        | 0.19          | 0.54        | 0.57          |
| Q4      | (0.80) | 0.45        | 0.50          | 0.56        | 0.61          |

e = Morgan Stanley Research estimates, a = Actual Company reported data

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**Likely direction of consensus: Modestly Positive for 2026/2027**

- We'd expect consensus forecasts to rise modestly for the next 12 to 18 months.
- We believe consensus forecasts for 2029-2031 are full/could face modest downside risk, although 2Q is unlikely to 'trigger' a negative revision.

**What to do with the stock?** On Aug 6th, investors will see an unlock of around \$100bn worth of incremental SPCX, which we see as an opportunity to gain exposure to a potential generational compounder that converts energy into a networked/swarming intelligence at scale. SPCX has the pieces to build an industry-leading intelligence per watt, per dollar, per second: ((i/w)/\$)/t.

**Changes to our forecasts:**

- **Revenues:** We raise our FY26 and FY27 revenue forecasts to \$48bn/\$102bn from \$45bn/\$91bn, driven by AI, which rose to \$25bn/\$67bn from \$22bn/\$56bn.
- **AI Compute:** We now model year-end compute of 2.1 GW, in line with guidance for >2 GW by year end. For 2027, we are being conservative on the compute ramp given the somewhat unprecedented magnitude, and model in 5 GW of end-of-year compute vs. the "closer to 10GW" given by CEO Elon Musk.
  - Importantly, our full-year 2027 revenue forecast of \$102bn implies essentially no acceleration off the >\$100bn in total-company "ARR" expected by the company by YE26, largely due to our assumed fall in total Rev/Watt to \$17/watt in 4Q27 from \$31/watt in 4Q26 (normalizing pricing of compute as market becomes more saturated). *If this conservative dynamic does not take place, and we were to run-rate \$31/watt over our average 3.5 GW of compute, it would imply an incremental \$42bn of AI revenues on our 2027 forecasts.*
- **EBIT:** We raise our FY26 and FY27 EBIT forecast to \$7.6bn/\$34bn from \$5.4bn/\$29bn, with margins expanding to 15.9%/33.2% from 12.1%/32.1%.
- **Capex:** We raise our FY26 and FY27 capex forecast to \$64bn/\$163bn from \$48bn/\$129bn, reflecting the faster compute build. AI accounts for the bulk at \$53bn/\$130bn. We now model AI capex/watt of roughly \$40/W in 2026 and 2027.
- **Starlink Subs and ARPU:** Relatively unchanged at 16.9mn/28.8mn consumer subs for FY26/FY27 (vs. 16.8mn/28.8mn prior) and monthly ARPU of \$60.82/\$51.88 (vs. \$60.66/\$51.78 prior). Connectivity revenue is similarly little changed at \$18.5bn/\$28.2bn from \$18.1bn/\$27.9bn, up ~2% and ~1%, respectively.

## Exhibit 1: SPCX Changes to Estimates: Income Statement

| SPACEX<br>Income Statement (\$mn) | New             | 2026e<br>Old    | Δ            | New              | 2027e<br>Old    | Δ            |
|-----------------------------------|-----------------|-----------------|--------------|------------------|-----------------|--------------|
| <b>Revenue</b>                    |                 |                 |              |                  |                 |              |
| Space                             | 4,822           | 4,691           | 2.8%         | 7,342            | 7,228           | 1.6%         |
| Connectivity                      | 18,454          | 18,106          | 1.9%         | 28,195           | 27,864          | 1.2%         |
| AI                                | 24,734          | 22,140          | 11.7%        | 66,791           | 55,834          | 19.6%        |
| <b>Total Revenue</b>              | <b>48,010</b>   | <b>44,936</b>   | <b>6.8%</b>  | <b>102,328</b>   | <b>90,926</b>   | <b>12.5%</b> |
| Y/Y Growth                        | 157.1%          | 140.6%          | 16.5%        | 113.1%           | 102.3%          | 10.8%        |
| <b>Gross Profit</b>               | <b>29,999</b>   | <b>27,659</b>   | <b>8.5%</b>  | <b>65,741</b>    | <b>57,064</b>   | <b>15.2%</b> |
| % Gross Margin                    | 62.5%           | 61.6%           | 0.9%         | 64.2%            | 62.8%           | 1.5%         |
| R&D                               | 17,991          | 18,015          | -0.1%        | 24,996           | 21,888          | 14.2%        |
| % of Sales                        | 37.5%           | 40.1%           | -2.6%        | 24.4%            | 24.1%           | 0.4%         |
| SG&A                              | 4,370           | 4,237           | 3.1%         | 6,790            | 5,994           | 13.3%        |
| % of Sales                        | 9.1%            | 9.4%            | -0.3%        | 6.6%             | 6.6%            | 0.0%         |
| Other                             | (9)             | (11)            | -18.2%       | 0                | 0               |              |
| % of Sales                        | 0.0%            | 0.0%            | 0.0%         | 0.0%             | 0.0%            | 0.0%         |
| <b>Operating Income (EBIT)</b>    | <b>7,647</b>    | <b>5,417</b>    | <b>41.2%</b> | <b>33,955</b>    | <b>29,182</b>   | <b>16.4%</b> |
| % Margin                          | 15.9%           | 12.1%           | 3.9%         | 33.2%            | 32.1%           | 1.1%         |
| <b>EBIT by Segment</b>            |                 |                 |              |                  |                 |              |
| Space                             | (2,024)         | (2,045)         | -1.0%        | 1,321            | 1,227           | 7.7%         |
| % Margin                          | -42.0%          | -43.6%          | 1.6%         | 18.0%            | 17.0%           | 1.0%         |
| Connectivity                      | 7,300           | 6,902           | 5.8%         | 12,892           | 12,340          | 4.5%         |
| % Margin                          | 39.6%           | 38.1%           | 1.4%         | 45.7%            | 44.3%           | 1.4%         |
| AI                                | 2,371           | 561             | 323.0%       | 19,742           | 15,615          | 26.4%        |
| % Margin                          | 9.6%            | 2.5%            | 7.1%         | 29.6%            | 28.0%           | 1.6%         |
| <b>Adj. EBITDA</b>                | <b>24,188</b>   | <b>21,688</b>   | <b>11.5%</b> | <b>64,418</b>    | <b>56,950</b>   | <b>13.1%</b> |
| % Margin                          | 50.4%           | 48.3%           | 2.1%         | 63.0%            | 62.6%           | 0.3%         |
| Stock-Based Comp                  | 3,216           | 3,038           | 5.9%         | 4,316            | 3,800           | 13.6%        |
| Net Interest Expense              | 425             | 636             | -33.2%       | 881              | 3               | 25634.7%     |
| Other Income / (Expense)          | (1,962)         | (1,876)         | 4.6%         | 0                | 0               |              |
| <b>Pre-Tax Income</b>             | <b>5,260</b>    | <b>2,905</b>    | <b>81.0%</b> | <b>33,074</b>    | <b>29,179</b>   | <b>13.3%</b> |
| Income Tax                        | 330             | 289             | 14.3%        | 1,422            | 1,255           | 13.3%        |
| % Tax Rate                        | 6.3%            | 10.0%           | -3.7%        | 4.3%             | 4.3%            | 0.0%         |
| Net Income                        | 4,929           | 2,616           | 88.4%        | 31,652           | 27,924          | 13.3%        |
| Less: Preferred Div. & Other      | 0               | 0               |              | 0                | 0               |              |
| <b>Net Income to Common</b>       | <b>4,929</b>    | <b>2,616</b>    | <b>88.4%</b> | <b>31,652</b>    | <b>27,924</b>   | <b>13.3%</b> |
| % Net Margin                      | 10.3%           | 5.8%            | 4.4%         | 30.9%            | 30.7%           | 0.2%         |
| <b>GAAP Diluted EPS</b>           | <b>\$0.50</b>   | <b>\$0.28</b>   | <b>78.2%</b> | <b>\$2.23</b>    | <b>\$2.18</b>   | <b>2.1%</b>  |
| Diluted Shares Out. (mn)          | 9,771           | 9,239           | 5.8%         | 14,212           | 12,798          | 11.0%        |
| Cash from Operating Activities    | 43,442          | 34,454          | 26.1%        | 58,616           | 52,880          | 10.8%        |
| Capital Expenditures              | 63,683          | 48,057          | 32.5%        | 163,154          | 128,756         | 26.7%        |
| <b>Free Cash Flow</b>             | <b>(20,241)</b> | <b>(13,603)</b> | <b>48.8%</b> | <b>(104,538)</b> | <b>(75,876)</b> | <b>37.8%</b> |

Source: Company data, Morgan Stanley Research estimates

## Exhibit 2: SPCX Changes to Estimates: Segment Detail &amp; KPIs

| SPACEX<br>KPIs and Segment Detail (\$mn) | New           | 2026e<br>Old  | Δ            | New           | 2027e<br>Old  | Δ            |
|------------------------------------------|---------------|---------------|--------------|---------------|---------------|--------------|
| <b>Starlink Subs &amp; ARPU</b>          |               |               |              |               |               |              |
| Consumer Subs (000s)                     | 16,888        | 16,839        | 0.3%         | 28,822        | 28,773        | 0.2%         |
| Consumer ARPU (\$/mo)                    | \$60.82       | \$60.66       | 0.3%         | \$51.88       | \$51.78       | 0.2%         |
| <b>Connectivity Revenue (\$mn)</b>       |               |               |              |               |               |              |
| Consumer & Business                      | 10,720        | 10,688        | 0.3%         | 15,836        | 15,770        | 0.4%         |
| Government & Enterprise (Inc. Mobile)    | 7,735         | 7,418         | 4.3%         | 12,359        | 12,094        | 2.2%         |
| <b>Total Connectivity Revenue</b>        | <b>18,454</b> | <b>18,106</b> | <b>1.9%</b>  | <b>28,195</b> | <b>27,864</b> | <b>1.2%</b>  |
| <b>AI Revenue &amp; Compute (\$mn)</b>   |               |               |              |               |               |              |
| Advertising Revenue                      | 2,523         | 2,613         | -3.4%        | 4,630         | 4,772         | -3.0%        |
| AI Solutions & Infrastructure            | 22,211        | 19,527        | 13.7%        | 62,162        | 51,061        | 21.7%        |
| <b>Total AI Revenue</b>                  | <b>24,734</b> | <b>22,140</b> | <b>11.7%</b> | <b>66,791</b> | <b>55,834</b> | <b>19.6%</b> |
| <b>End of Period Compute (MW)</b>        | <b>2,060</b>  | <b>1,980</b>  | <b>4.0%</b>  | <b>4,940</b>  | <b>4,150</b>  | <b>19.0%</b> |
| Rev / Watt (Avg Compute, Annualized, \$) | \$17.68       | \$16.29       | 8.5%         | \$19.08       | \$18.22       | 4.8%         |

Source: Company data, Morgan Stanley Research estimates

Exhibit 3: SPCX Earnings Variance

| SPACEX<br>Income Statement (\$mn) | 2Q26 Actual     | Cons            | MSe             | \$ Difference<br>v. Cons v. MSe |               |
|-----------------------------------|-----------------|-----------------|-----------------|---------------------------------|---------------|
| Space                             | 962             | 871             | 831             | 91                              | 131           |
| Connectivity                      | 4,291           | 3,949           | 4,033           | 342                             | 258           |
| AI                                | 2,561           | 2,104           | 1,882           | 457                             | 679           |
| <b>Total Revenue</b>              | <b>7,814</b>    | <b>6,924</b>    | <b>6,747</b>    | <b>890</b>                      | <b>1,067</b>  |
| Y/Y Growth                        | 91.9%           | 70.1%           | 65.7%           | 21.9%                           | 26.2%         |
| Cost of Revenue                   | 3,495           | 3,174           | 3,091           | 321                             | 404           |
| <b>Gross Profit</b>               | <b>4,319</b>    | <b>3,750</b>    | <b>3,655</b>    | <b>569</b>                      | <b>664</b>    |
| % Gross Margin                    | 55.3%           | 54.2%           | 54.2%           | 1.1%                            | 1.1%          |
| R&D                               | 3,548           | 4,434           | 4,482           | (886)                           | (934)         |
| % of Sales                        | 45.4%           | 64.0%           | 66.4%           | (18.6%)                         | (21.0%)       |
| SG&A                              | 912             | 929             | 856             | (17)                            | 56            |
| % of Sales                        | 11.7%           | 13.4%           | 12.7%           | (1.7%)                          | (1.0%)        |
| Other Expense                     | 2               | 0               | 0               | 2                               | 2             |
| % of Sales                        | 0.0%            | 0.0%            | 0.0%            | 0.0%                            | 0.0%          |
| Space EBIT                        | (542)           | (773)           | (814)           | 231                             | 272           |
| % Margin                          | -56.3%          | -88.7%          | -98.0%          | 32.4%                           | 41.6%         |
| Connectivity EBIT                 | 1,656           | 1,418           | 1,387           | 238                             | 269           |
| % Margin                          | 38.6%           | 35.9%           | 34.4%           | 2.7%                            | 4.2%          |
| AI EBIT                           | (1,257)         | (2,214)         | (2,256)         | 957                             | 999           |
| % Margin                          | -49.1%          | -105.2%         | -119.8%         | 56.2%                           | 70.7%         |
| <b>Operating Income (EBIT)</b>    | <b>(143)</b>    | <b>(1,570)</b>  | <b>(1,683)</b>  | <b>1,427</b>                    | <b>1,540</b>  |
| % Margin                          | -1.8%           | -22.7%          | -24.9%          | 20.8%                           | 23.1%         |
| Stock-Based Comp                  | 831             | 727             | 728             | 104                             | 103           |
| Depreciation & Amortization       | 2,848           | 2,951           | 2,971           | (103)                           | (123)         |
| Restructuring, Impairment & Other | (141)           | 0               | 0               | (141)                           | (141)         |
| <b>Adj. EBITDA</b>                | <b>3,538</b>    | <b>2,108</b>    | <b>2,015</b>    | <b>1,430</b>                    | <b>1,523</b>  |
| % Margin                          | 45.3%           | 30.5%           | 29.9%           | 14.8%                           | 15.4%         |
| Interest Expense                  | 629             | 645             | 757             | (16)                            | (128)         |
| Interest Income                   | 340             | 282             | 178             | 58                              | 162           |
| Net Interest Expense              | 289             | 364             | 579             | (75)                            | (290)         |
| Other Income / (Expense)          | (86)            | (97)            | 0               | 11                              | (86)          |
| <b>Pre-Tax Income</b>             | <b>(518)</b>    | <b>(2,030)</b>  | <b>(2,262)</b>  | <b>1,512</b>                    | <b>1,744</b>  |
| Income Tax                        | 23              | 51              | 0               | (28)                            | 23            |
| % Tax Rate                        | -4.4%           | -2.5%           | 0.0%            | (1.9%)                          | (4.4%)        |
| Net Income                        | (541)           | (2,082)         | (2,262)         | 1,541                           | 1,721         |
| Less: Preferred Div. & Other      | 0               | 0               | 0               | 0                               | 0             |
| <b>Net Income to Common</b>       | <b>(541)</b>    | <b>(2,082)</b>  | <b>(2,262)</b>  | <b>1,541</b>                    | <b>1,721</b>  |
| % Net Margin                      | -6.9%           | -30.1%          | -33.5%          | 23.1%                           | 26.6%         |
| <b>GAAP Diluted EPS</b>           | <b>(\$0.09)</b> | <b>(\$0.32)</b> | <b>(\$0.35)</b> | <b>\$0.23</b>                   | <b>\$0.26</b> |
| Diluted Shares Out. (mn)          | 5,864           | 6,501           | 6,501           | (637)                           | (637)         |
| Cash from Operating Activities    | 3,466           | (445)           | (450)           | 3,911                           | 3,916         |
| Capital Expenditures              | 18,369          | 17,149          | 20,487          | 1,220                           | (2,118)       |
| <b>Free Cash Flow</b>             | <b>(14,903)</b> | <b>(17,594)</b> | <b>(20,937)</b> | <b>2,691</b>                    | <b>6,034</b>  |

Note: Only including consensus published after 7/6/2026.

Source: Company data, Visible Alpha, FactSet, Morgan Stanley Research estimates

## Risk Reward – SpaceX (SPCX.O)

AI's Final Frontier

### PRICE TARGET \$300.00

Sum-of-the-Parts by Segment: Space, Connectivity, AI (Divided into X & Grok and Enterprise AI)

- \$300 Price Target = sum of Space (\$8), Connectivity (\$118), X & Grok (\$8), Enterprise AI (\$165)

2040 ending forecast period

6/30/2027 valuation date

11.1% WACC; 11.9% Cost of Equity.

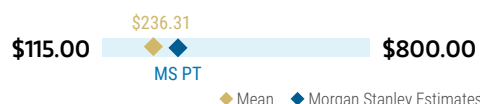
50% Enterprise AI valuation discount for execution risk

TGR of: 4.0% Space, 4.5% connectivity, 3.0% X & Grok, 5.0% Enterprise AI

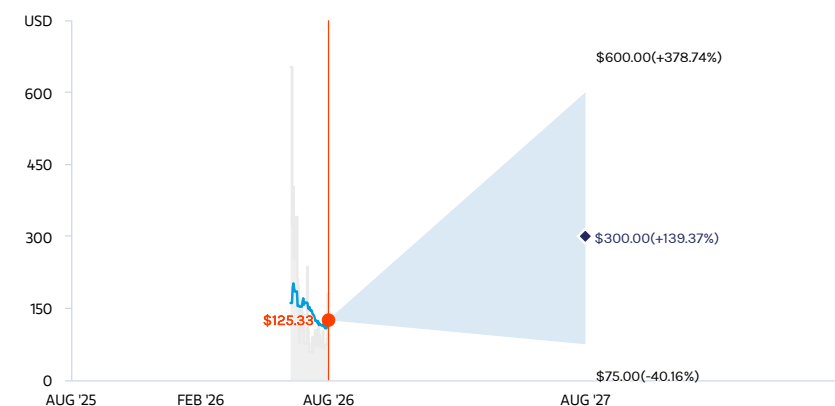
Equates to 0.46 EV/EBIT/Growth

#### Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



### RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

### OVERWEIGHT THESIS

#### ■ End-to-End Infrastructure of the Future.

Positioning across AI infrastructure, global connectivity, launch cost leadership, and vertical integration can create a self-reinforcing flywheel across massive TAMs.

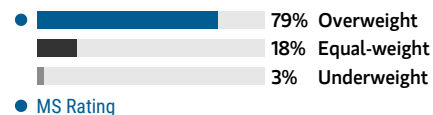
#### ■ Unlocking Leading Cost/Watt and Time-to-Power.

We believe SpaceX's vertical integration can drive lower cost per watt and faster deployment than traditional AI infrastructure peers, potentially driving higher revenue/watt.

#### ■ High Execution Risk, Massive TAM Creation.

Execution risk is among the highest versus other megacap AI enablers, but SpaceX has a path to create, penetrate, and become a leader in large new markets overlapping AI, connectivity, and space.

#### Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

#### Risk Reward Themes

Disruption: Positive  
Secular Growth: Positive  
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

### BULL CASE

**\$600.00**

#### Infrastructure Flywheel Accelerates

Faster execution across Starship, orbital compute, and Terafab, with AI representing more than 60% of valuation. We assume Starship becomes operational in 4Q26, compute deployed rises at a 50% CAGR through 2040, and volume growth more than offsets enterprise revenue per watt declines due to compute becoming more abundant.

### BASE CASE

**\$300.00**

#### Risk-Adjusted Scaling

Our base case gives SpaceX credit for a steep but risk-adjusted path to scale, with roughly half of valuation from Space and Connectivity and roughly half from consolidated AI. We assume Starship becomes operational in 4Q26, compute deployed rises at a 45% CAGR through 2040, and orbital compute becomes the bulk of capacity by 2032.

### BEAR CASE

**\$75.00**

#### Space and Connectivity Downside Support

Starship delays compress the story and AI monetization and deployment speed meaningfully underperform expectations, leaving Space and Connectivity at ~90% of overall valuation. Starship does not become operational until 2029, limiting Connectivity penetration and sharply reducing the probability of scaled orbital compute (not assumed in any material quantity throughout forecast).

## Risk Reward – SpaceX (SPCX.O)

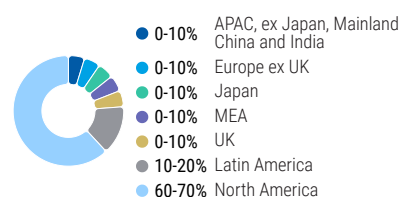
### KEY EARNINGS INPUTS

| Drivers                                        | Dec 2025 | Dec 2026e | Dec 2027e | Dec 2028e |
|------------------------------------------------|----------|-----------|-----------|-----------|
| Consumer/Business Broadband Subscribers (000s) | 8,900.0  | 16,888.0  | 28,822.0  | 42,238.0  |
| Total Nameplate Compute Capacity (MW)          | 738.0    | 2,060.0   | 4,940.0   | 8,750.0   |
| Total Launches                                 | 170.0    | 171.0     | 89.0      | 130.0     |
| Variable Launch Costs per kg (\$)              | 1,044    | 1,080     | 855       | 836       |

### INVESTMENT DRIVERS

- Cost / Watt of Compute
- Revenue / Watt of Compute
- Cost / kg of Mass to Orbit
- # of Starlink Subscribers

### GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate  
View explanation of regional hierarchies [here](#)

### RISKS TO PT/RATING

#### RISKS TO UPSIDE

- Faster Starship reuse progress
- Faster Starlink capacity growth
- Stronger DTC / enterprise adoption
- More neocloud wins
- Cursor ARR acceleration
- Lower AI infrastructure time to power and cost

#### RISKS TO DOWNSIDE

- Slower Starship reuse cadence
- Slower Starlink subscriber growth
- Weaker enterprise AI monetization
- Higher capex / cost per watt of compute
- Longer time-to-power
- Greater funding needs / dilution
- Regulatory delays

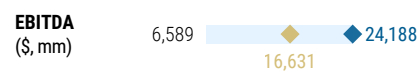
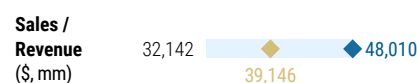
### OWNERSHIP POSITIONING

|                            |       |                                                         |
|----------------------------|-------|---------------------------------------------------------|
| HF Sector Long/Short Ratio | 2.6%  | <div><div></div><div></div><div></div><div></div></div> |
| HF Sector Net Exposure     | 12.3x | <div><div></div><div></div><div></div><div></div></div> |

Source: Morgan Stanley Prime Brokerage. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

### MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

## Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options\\_Probabilities\\_Exhibit\\_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR\\_Themes\\_Exhibit\\_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG\\_Exhibit\\_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG\\_Sustainable\\_Solutions\\_External\\_Link.pdf](#)
5. View explanation of HERS methodology - [ESG\\_HERS\\_External\\_Link.pdf](#)

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(as of July 31, 2026)

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| Stock Rating Category | Coverage Universe |            | Investment Banking Clients (IBC) |                |                      | Other Material Investment Services Clients (MISC) |                       |
|-----------------------|-------------------|------------|----------------------------------|----------------|----------------------|---------------------------------------------------|-----------------------|
|                       | Count             | % of Total | Count                            | % of Total IBC | % of Rating Category | Count                                             | % of Total Other MISC |
| Overweight/Buy        | 1529              | 42%        | 442                              | 47%            | 29%                  | 750                                               | 43%                   |
| Equal-weight/Hold     | 1582              | 43%        | 396                              | 42%            | 25%                  | 773                                               | 44%                   |
| Not-Rated/Hold        | 3                 | 0%         | 1                                | 0%             | 33%                  | 1                                                 | 0%                    |
| Underweight/Sell      | 560               | 15%        | 97                               | 10%            | 17%                  | 217                                               | 12%                   |
| Total                 | 3,674             |            | 936                              |                |                      | 1741                                              |                       |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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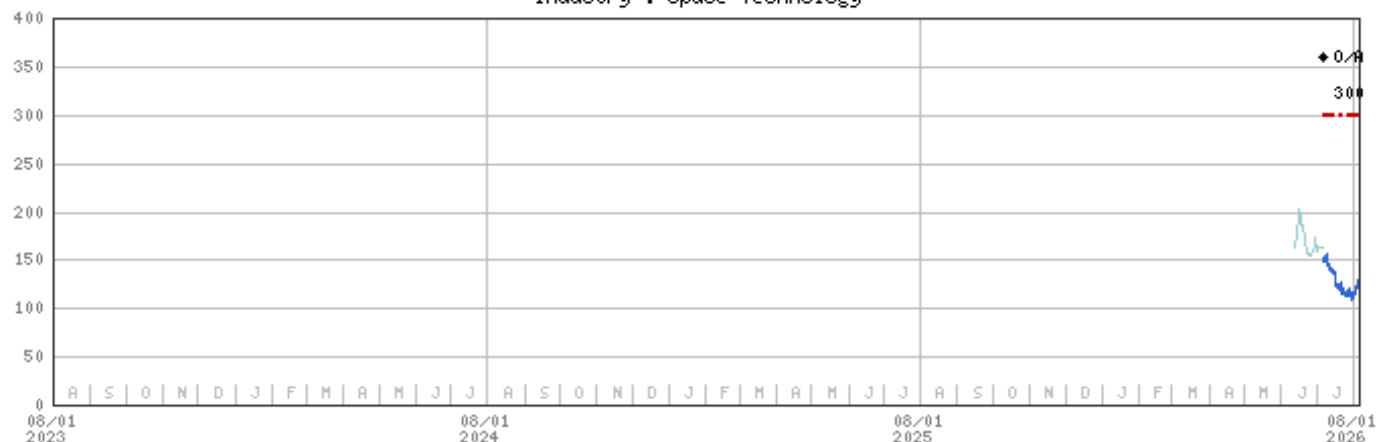
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## Stock Price, Price Target and Rating History (See Rating Definitions)

SpaceX (SPCX.O) - As of 08/05/26 GMT in USD  
Industry : Space Technology



Stock Rating History: 7/7/26 : 0/A

Price Target History: 7/7/26 : 300

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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## INDUSTRY COVERAGE: Space Technology

| COMPANY (TICKER) | RATING (AS OF) | PRICE* (08/04/2026) |
|------------------|----------------|---------------------|
| Adam Jonas, CFA  |                |                     |
| SpaceX (SPCX.O)  | O (07/07/2026) | \$125.33            |
| Justin M Lang    |                |                     |

|                                       |                |          |
|---------------------------------------|----------------|----------|
| Gogo Inc (GOGO.O)                     | E (08/14/2025) | \$4.66   |
| Iridium Communications Inc (IRDM.O)   | E (01/16/2026) | \$49.61  |
| MDA Space Ltd (MDA.TO)                | O (01/16/2026) | C\$48.10 |
| Viasat Inc (VSAT.O)                   | E (12/15/2017) | \$86.16  |
| <b>Kristine T Liwag</b>               |                |          |
| Firefly Aerospace Inc (FLY.O)         | E (09/02/2025) | \$23.33  |
| HawkEye 360 Inc (HAWK.N)              | O (06/01/2026) | \$24.30  |
| Planet Labs PBC (PL.N)                | E (01/22/2023) | \$22.83  |
| Rocket Lab USA Inc (RKLB.O)           | O (01/16/2026) | \$74.48  |
| Virgin Galactic Holdings Inc (SPCE.N) | U (11/22/2023) | \$2.95   |
| Voyager Technologies Inc (VOYG.N)     | U (07/15/2026) | \$33.49  |

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